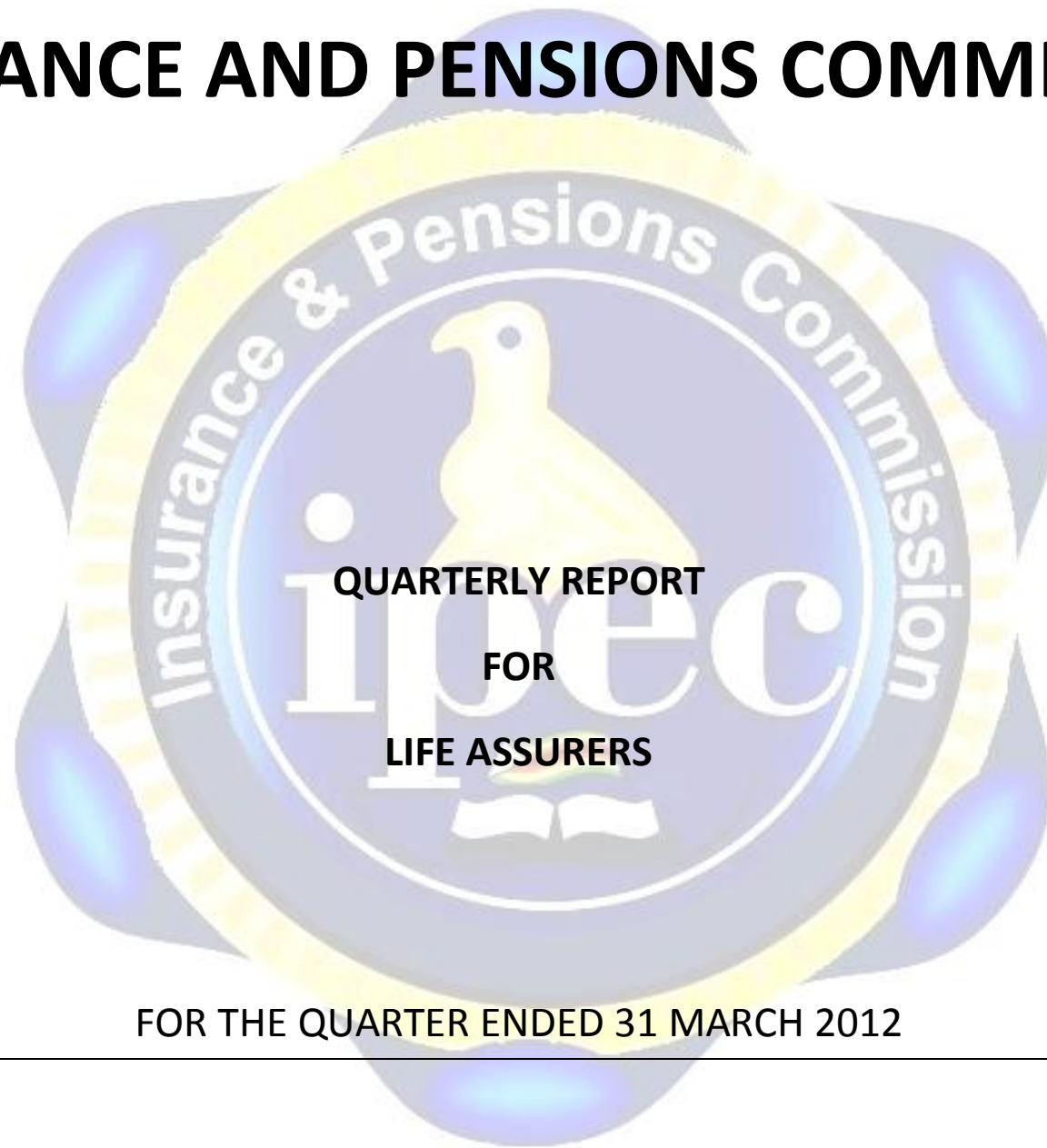


INSURANCE AND PENSIONS COMMISSION



QUARTERLY REPORT

FOR

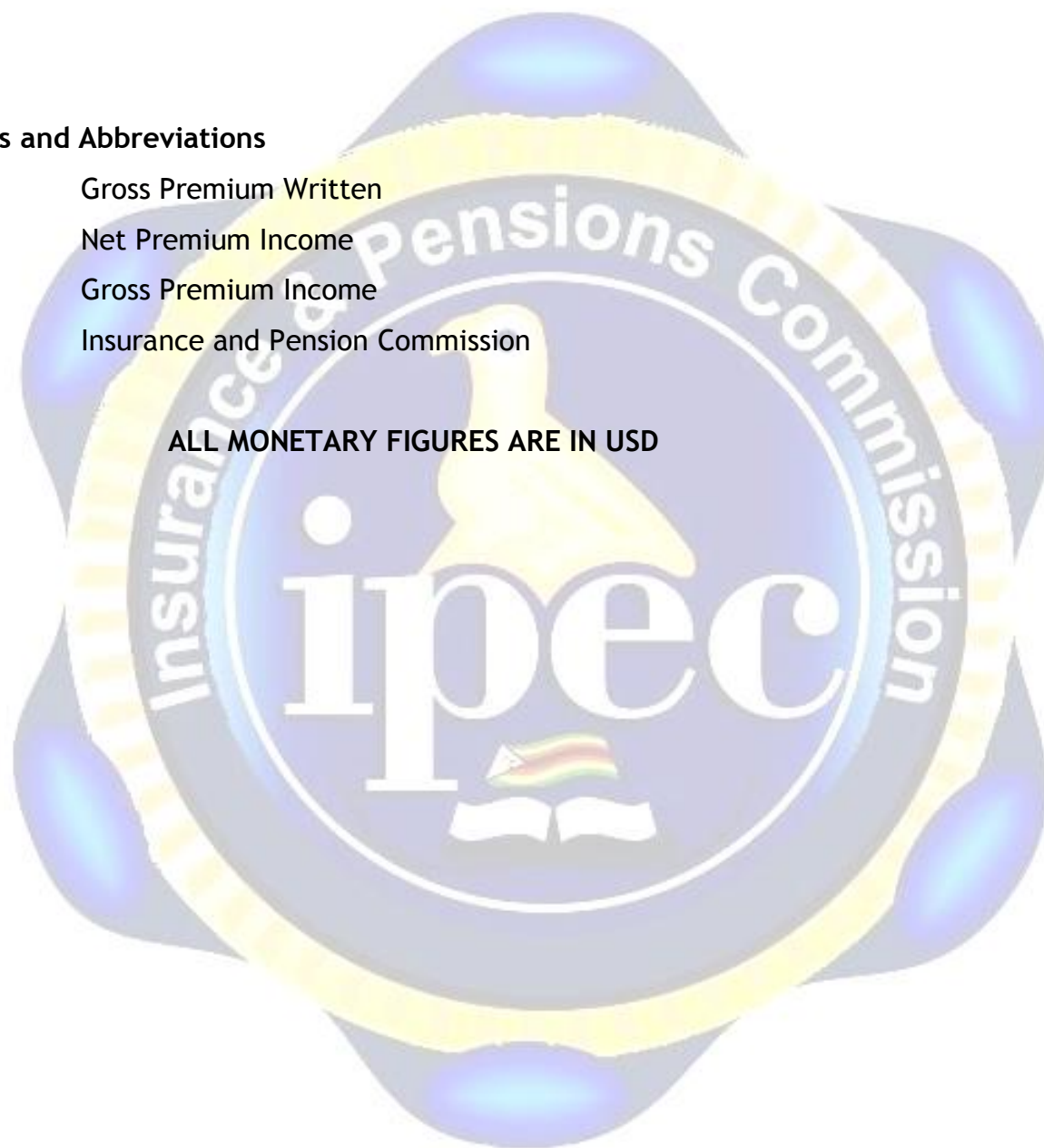
LIFE ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2012

1.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission

NOTE: ALL MONETARY FIGURES ARE IN USD



2.0 Executive Summary

The Commission hereby present the first quarter report for the year 2012 for the life assurance industry as one of its major offsite supervision mechanisms.

For the period under review, life assurance companies reported gross premiums of \$43 million or 17% growth from the same period last year. Reassurers on the other hand reported \$1,1million in gross premiums written.

Another welcome indicator was the industry's general compliance with the minimum capital requirements in terms of Statutory Instrument 189 of 2009 except for one reinsurer who is in the process of correcting its capital status. As confirmed in our previous reports, new capital levels are be introduced in line with minimum limits prevailing regionally. Players are therefore best advised to pre-adjust their capital status.

Reported figures illustrate that life offices realized considerable asset growth of 33% for life assurers to close the quarter at \$1billion for the period under review .Life reassures had \$4million worth of assets under their management. Asset composition at as the close of the quarter was mainly constituted by stocks (46%) and property (40%).

Cost containment particularly management costs and claims remained a challenge for the industry as a combined ratio of 78% was reported .The Commission encourages players to address this issue urgently to enhance sustainability of the industry.

Member players reported an upward 90% retention ratio. In the absence of any prudential limits ,IPEC encourages companies to retain risks relative to the size of their balance sheets. In the medium term, The Commission will address this anomaly through enforcing risk based capital models in line with best practices worldwide.

The logo of the Insurance & Pensions Commission (IPEC) is a circular emblem. It features a central white bird, possibly a dove, perched on an open book. The book has a rainbow-colored cover. The word "ipec" is written in a large, white, serif font across the middle of the emblem. The words "Insurance & Pensions Commission" are written in a smaller, white, sans-serif font around the perimeter of the inner circle. The entire emblem is set against a blue background with a yellow border.

Section A : Life Assurance Companies

3.0 The Number of Life Assurance Companies

This report is centred on 9 players.

4.0 Business Written

The life industry recorded \$43 million in gross premiums, a 17% rise from business written in the comparable period last year (see Table 1 below). This is indicative of a recovering industry in line with general improvements in the economic outlook and resumption of confidence in the sector. Players are encouraged to sustainably maintain this positive upturn in order to regain their status as the principal source of long term savings whose part contribution is critically needed for the growth of our economy.

Table 1: Premium Distribution by Company as at 31 March 2012

Name of Life Company	GPW (USD)		Growth
	Mar 12	Mar 11	
Altfin	1,216,589	694,369	75%
Evolution	551,261	608,024	(10%)
Fidelity	1,801,983	4,852,970	(63%)
FML	14,372,953	13,992,086	3%
IGI	266,143	774,333	(66%)
Old Mutual	19,633,439	12,381,100	59%
CBZ Life	1,161,243	93,591	1141%
Zb Life	1,487,285	1,480,056	0.5%
Zimnat	2,501,457	1,981,979	26%
TOTAL	42,992,353	36,858,508	17%

5.0 Capitalisation and Actuarial Reserves

Capital

Table 2 below shows that as at 31 December 2011, all players complied with the minimum capital requirements as per Statutory Instrument 189 of 2009. The Commission also takes this opportunity to remind players that discussions on new capital requirements are at advanced consultation stages and are most likely to approximate regional thresholds. The industry is therefore best advised to realign their balance sheets along similar lines.

Actuarial Reserves

Life companies maintained and or improved their actuarial reserves in line with our exhortation in our previous quarterly reports (See Table 2 below). IPEC will shortly be consulting stakeholders with a view to map out and implement prudential guidelines on this critical compliance issue.

Retained Earnings

For the period under review, life offices reported retained earnings of \$92million up from \$88million for the same quarter 2011.

Table 2: Capital and Actuarial Reserves as at 31 March 2011

NAME OF COMPANY	Issued Share Capital	Other Capital			Retained Earnings			Actuarial Reserves			
		2012:Q1	2011:Q1	%	2012:Q1	2011:Q1	%		2012:Q1	2011:Q1	%
Altfin	542,000	0	0	0.0	5,275,795	3,867,507	0.4		0	0	0.0
CBZ Life	20,000	1,388,012	0	0.0	83,142	0	0.0		1,384,224	0	0.0
Evolution	1,777,737	100	934,612	0.0	120,232	71,878	0.7		152,749	205,021	(0.3)
Fidelity	1,185,317	1,089,233	1,089,233	0.0	3,252,858	1,532,434	1.1		14,622,913	8,515,729	0.7
FML	501	2,606,200	0	0.0	(6,138,663)	3,404,014	(2.8)		0	30,576,434	(1.0)
IGI	1,680,000	0	0	0.0	15,431	24,184	(0.4)		110,395	0	0.0
Old Mutual	131,844	29,990,000	0	0.0	85,465,351	80,037,968	0.1		747,595,426	769,905,420	(0.0)
ZB Life	250,000	4,750,000	4,750,000	0.0	(1,667,902)	-1,588,932	0.0		19,496,474	19,055,243	0.0
Zimnat	200,000	250,000	400,000	(0.6)	5,503,045	1,048,496	4.2		19,193,320	15,235,042	0.3
Total	5,787,399	40,073,545	7,173,845	0.8	91,909,289	88,397,549	0.0		802,555,501	843,492,889	(0.0)

6.0 Key Performance Indicators

Table 3 below illustrates the key performance indicators in respect of the life industry for the period ended 31 March 2012. The major issues are discussed herein under :

Claims

Life offices paid \$22million in claims for the period under review compared to \$14million paid for the quarter ended 31 March 2011. This reflects a 55% increase in the claims bill and a 52% claims ratio. Claims contributed 66% of the total industry costs for the current reporting period. To tame this scenario, players require to urgently deploy prudent underwriting and risk management practices given the prevailing limited investment returns obtaining in the country.

Commission

Commission payments contributed a paltry 4% of total costs suggesting that players largely do not employ intermediaries in their business operations. Players are however required to employ only registered agents and brokers, failure of which The Commission may penalize offenders in terms of the law.

Management (Operational) Expenses

Operational expenses accounted for 30% of the Total costs for the first quarter ended 31 March 2012 compared to a 37% shared reported as at the end of the comparable quarter last year. This may be partly attributable to right-sizing of staff costs and relocation or cutting down on office rental costs among other measures.

Combined Ratio

Life offices recorded a rise of 8% in the combined ratio from the 70% reported in the comparative period in the year 2011. As alluded to earlier, this was mainly due to a rapid increase in claims ratio despite efforts at containment of major operational expenses.

Table 3: Key Performance Indicators By Company for the Quarter ended 31 March 2012

	Net Premium written(USD)			Claims(USD)			Commissions(USD)			Management Expenses(USD)			Total Costs(USD)			Combined Ratio(%)		
	Mar 12	Mar 11	Growth	Mar 12	Mar 11	Growth(%)	Mar 12	Mar 11	Growth(%)	Mar 12	Mar 11	VAR	Mar 12	Mar 11	Growth (%)	Mar 12	Mar 11	Growth
Altfin	1,074,522	583,640	84	83,771	127,793	66	85,142	45 022	89	577,497	312,695	(84)	746,410	485,510	(54)	69	83	(14)
Evolution	224,372	236,191	(5)	18,887	62,809	30	98,438	88,180	11	87,606	82,119	(7)	204,931	233,108	12	92	99	7
Fidelity	1,741,468	4,751,672	(65)	207,379	531,300	39	55,257	60,225	(8)	903,786	2,679,311	(34)	1,166,422	3,270,836	(64)	67	69	2
FML	14,358,114	13,823,949	4	6,374,066	2,052,730	(220)	489,852	1,121,506	(66)	3,190,462	2,167,764	45	10,054,380	5,342,000	(89)	70	39	(41)
IGI	254,316	99,638	155	37,471	29,104	29	30,854	9,156	236	145,284	64,799	124	213,609	103,059	107	84	103	19
Old Mutual	19,572,655	12,321,786	59	13,262,570	10,475,807	27%	141,740	39,924	255	3,096,566	2,323,786	33	16,500,876	12,839,517	29	84	104	20
CBZ Life	969,331	93,581	936	35,170	-	-	171,102	12,180	1305	171,658	83,511	106	377,930	95,691	295	39	102	63
Zb Life	1,425,624	1,461,398	(2)	1,047,288	496,648	111	156,652	42,730	267	824,749	315,374	162	2,028,689	877,142	131	142	60	80
Zimnat	2,405,872	1,762,273	37	846,263	318,595	166	108,925	40,536	169	711,270	980,029	27	1,666,458	1,318,650	26	69	75	6
Total	42,026,274	35,134,128	20	21,912,865	14,094,786	55	1,337,962	1,459,459	(8)	9,708,878	9,009,388	8	32,959,705	24,565,513	34	78	70	8

7.0 Asset bases

Table 4 and Figure 1, below, illustrate the assets under management by the life assurance industry for the quarter ended 31 March 2012.

Stocks and Shares

Life offices increased their stock holding by 66% from \$277million reported to \$461million or 46% of total assets despite the generally low returns realized in the stock market for the period under review. This may be attributed to the fact that players are deliberately taking a medium to long term view of this investment given its generic potential to yield considerable returns in an envisaged more vibrant economic outlook.

Land and Buildings

Property holding by life assurers constituted 40% of total asset base or \$401million compared to \$374million reported in the quarter ended 31 March 2011. Players grew their property portfolios by 7% from values reported as at the end of the comparative reporting period last year.

Cash

Cash and near cash assets grew by 40% year on year resulting in \$94million holding as at the close of this quarter which translate 9% of total assets for the quarter under review .This could be partly influenced by the need to maintain some liquidity to pay rising payment obligations as and when they fall due or limited viable investment options.

Other Assets

The balance of 5% of total assets held by life offices was in other assets. In an effort to enhance further disclosure in this category and other prudential issues, the Commission has designed a new template which is in circulation in time for the third quarter reporting period.

Prescribed Assets

Life companies must invest 7.5% of their assets in prescribed assets. The Commission requires compliance in this regard as various bills and bonds have now been floated. Failure to comply attracts penalties in accordance with the law.

Table 4: Life industry Asset bases as at 31 March 2011

	Stocks and Shares			Land and Buildings			Cash			Other Assets			Total		
	Mar 12	Mar 11	Growth (%)	Mar 12	Mar 11	Growth (%)	Mar 12	Mar 11	Growth (%)	Mar 12	Mar 11	Growth (%)	Mar 12	Mar 11	Growth (%)
Altfin	2,226,369	2,323,718	4	685,000	402,500	70	387,524	112,560	244	1,169,707	1,249,231	(6)	6,817,345	4,724,431	44
Evolution	0	543,034	-	2,819,995	0	-	240,372	87,420	275	1,749,341	855,780	104	4,809,708	1,548,841	211
Fidelity	4,165,413	2,906,860	43	10,950,680	6,887,138	59	5,492,019	1,367,635	302	3,629,133	4,624,486	22	24,237,245	15,786,119	54
FML	62,695,392	37,382,573	68	0	0	0.0%	2,664,250	748,999	256	10,416,982	11,891,934	(12)	75,776,624	50,023,506	51
IGI	38,234	300,000	(87)	511,650	211,260	142	50,249	55,225	(9)	1,700,083	193,808	777	2,300,216	760,683	202
Old Mutual	364,427,520	206,582,108	76	368,544,634	353,313,039	4	83,338,068	63,769,282	31	19,428,068	12,495,241	55	687,080,431	636,159,515	8
CBZ Life	0	-	0	0	0	0	149,249	38,259	290	3,370,992	1,068,679	215	3,520,241	1,106,938	218
Zb Life	17,585,605	18,470,029	5	3,214,550	2,924,000	10	256,327	386,495	(66)	3,594,615	2,854,624	26	24,651,096	24,635,148	0
Zimnat	9,713,730	8,696,580	12	14,628,000	9,773,000	50	1,636,888	900,101	82	1,829,591	975,478	88	32,211,709	22,051,571	46
Total	460,852,263	277,204,902	66	401,354,509	373,510,937	7	94,214,946	67,465,976	40	46,888,512	36,209,261	29	1,003,310,230	754,391,076	33

Figure 1: Asset Composition

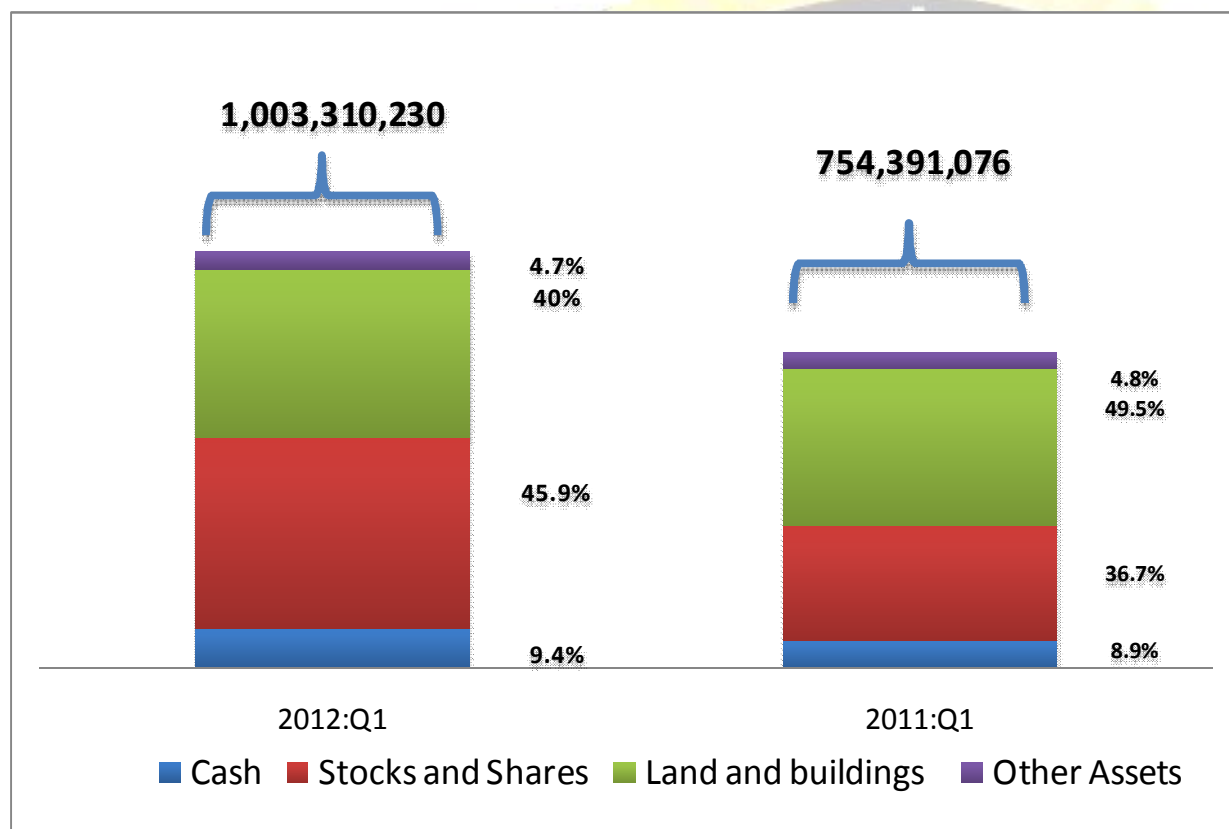
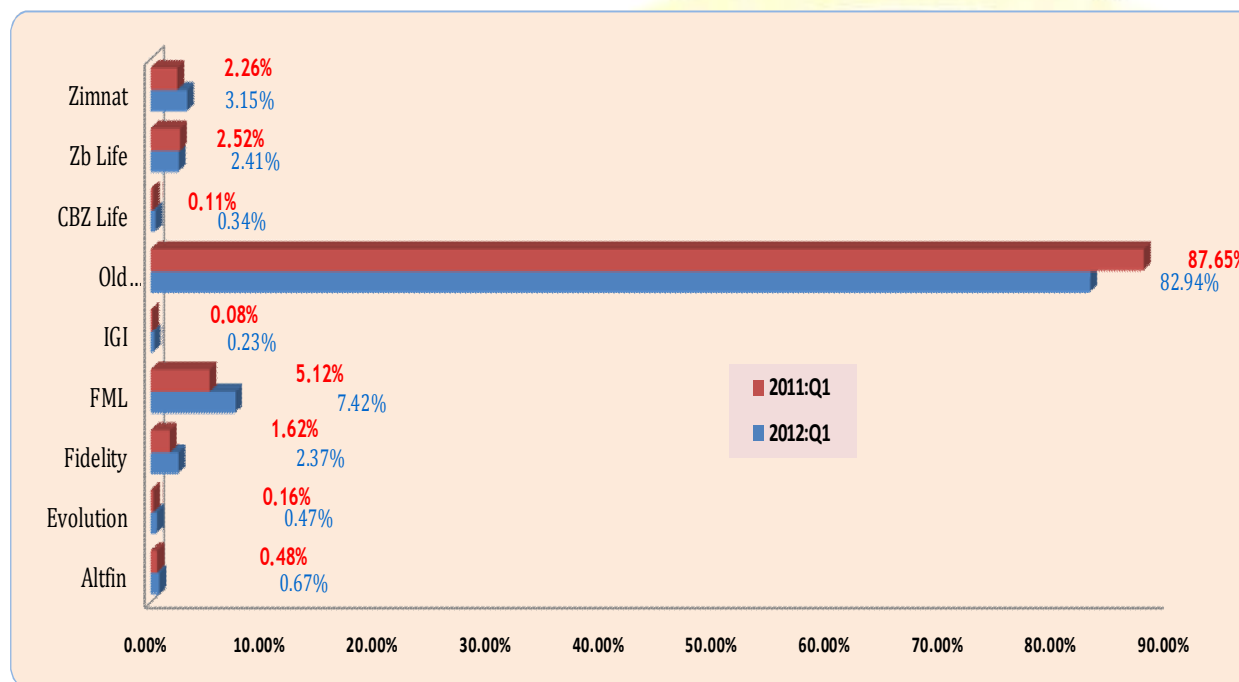


Figure 2 below illustrates market distribution of assets by company as at 31 March 2011. The graph is illustrative of an oligopolistic market structure where nearly the top three companies control almost all the assets.

Figure 2: Asset Distribution by Company



8.0 Reinsurance and Retention

The Commission has noted the sustained retention of almost the entire book of business by players .IPEC continues to encourage prudent underwriting practices as well as employing commensurate risk spread mechanisms including reinsurance .Reinsurance is not an option but a prudential necessity for insurers. In the absence of guidelines to reinsurance limits, we continue to encourage players to observe insurance practices for the good of policyholders, shareholders and the industry.(See Table 5 below)

Table 5: Reinsurance and Retention by Company for the Second and Third Quarter 2011

Life Company	GPW		Reinsurance Ceded		Retention Ratio (%)		Growth
	Mar 12	Mar 11	Mar 12	Mar 11	Mar 12	Mar 11	
Altfin	1,216,589	694,369	142,067	110,729	88	84	4
Evolution	551,261	608,024	326,889	371,832	41	61	20
Fidelity	1,801,983	4,852,970	60,515	101,298	97	98	(1)
FML	4,372,953	13,992,086	14,839	168,137	100	99	1
IGI	266,143	774,333	11,826	2,894	96	100	(4)
Old Mutual	9,633,439	12,381,100	60,784	59,314	100	100	0
CBZ Life	1,161,243	93,591	191,912	0	83	100	(17)
Zb Life	1,487,285	1,480,056	61,661	18,658	96	99	(3)
Zimnat	2,501,457	1,981,979	95,586	219,706	96	89	7
Total	42,992,353	36,858,508	966,079	1,052,568	98	97	(1)

The logo of the Insurance & Pensions Commission (IPEC) is a circular emblem. It features a yellow bird perched on a white open book. The text "Insurance & Pensions Commission" is written in a circular path around the central image. Below the bird and book, the acronym "ipecc" is written in a stylized, lowercase font. The entire logo is set against a blue background with a yellow border.

Section B: Reassurance Companies

1.1. Update on Number of Operational Institutions

There were 2 operational life reassurers in the quarter under review.

1.2. Business Written

Table 1 below, shows that life reassurers wrote \$1,1million in gross premium written for the period under review. This is our preliminary report on this sector's operations and as such comparative figures were not readily available.

Table 1: Key Performance Indicators for the quarter ended 31 March 2012

	Mar 12
Gross Premium Written	1,130,980
Net Premium Written	1,012,325
Net Earned Premium	456,198
Net Claims Incurred	466,585
Net Commission Incurred	182,665
Management Expenses	256,638
Underwriting Profit	211,184

1.3. Earnings

Life reinsurers realized a technical profit of \$211,000 for the first quarter ended 31 March 2012. Contributions from investment income was in the negative territory signifying a critical need to charge economic premium rates by underwriters in order to buttress timeous claims paying ability.

Life reinsurers registered a net combined ratio of 89% for the period under consideration. This underscored the urgent need for stringent cost management measures to ensure industry sustainability.

Players reported profit after tax amounting to \$219 000 for the period under review.

1.4. Capitalisation

A single reinsurer with capital that was below the regulatory minimum in Statutory Instrument 183 of 2009 was reported as shown in Table 2 below. Corrective measures are being implemented, the results of which may manifest by the end of the next reporting period.

Table 2 : Capitalisation Levels for the quarter ended 31 March 2012

SHAREHOLDERS' EQUITY	Baobab	FMRE
Share Capital	337,727	550
Share Premium	-	801,227
Revaluation & Other Reserves	371,022	72,555
Retained Profit	255,535	(1,653,914)
Shareholders' Equity	964,284	(779,582)

1.5. Asset Quality

Reassurers reported that 63% of their assets were in non-current assets in line with their liabilities whilst the balance was held in the near-cash current assets. However players are required to stand guided by actuaries as a prudential measure. Table 3 below illustrates the foregoing discussion.

Table 3: Total Assets For Reassurers for the quarter ended 31 March 2012

	Baobab	FMRe
Non-Current Assets	2,745,497	587,933
Current Assets	845,700	191,667
TOTAL ASSETS	3,591,197	779,600

1.6. Retention

Table 1 above shows that players retained \$1million or 90% net to their books out of the gross premium figure of \$1,1million. The scenario thus shows limited externalization of premiums. Reassurers are however encouraged to prudently retain risks which are commensurate with their balance sheet sizes in addition to considering the prevailing investment challenges in order to minimize underwriting risk.

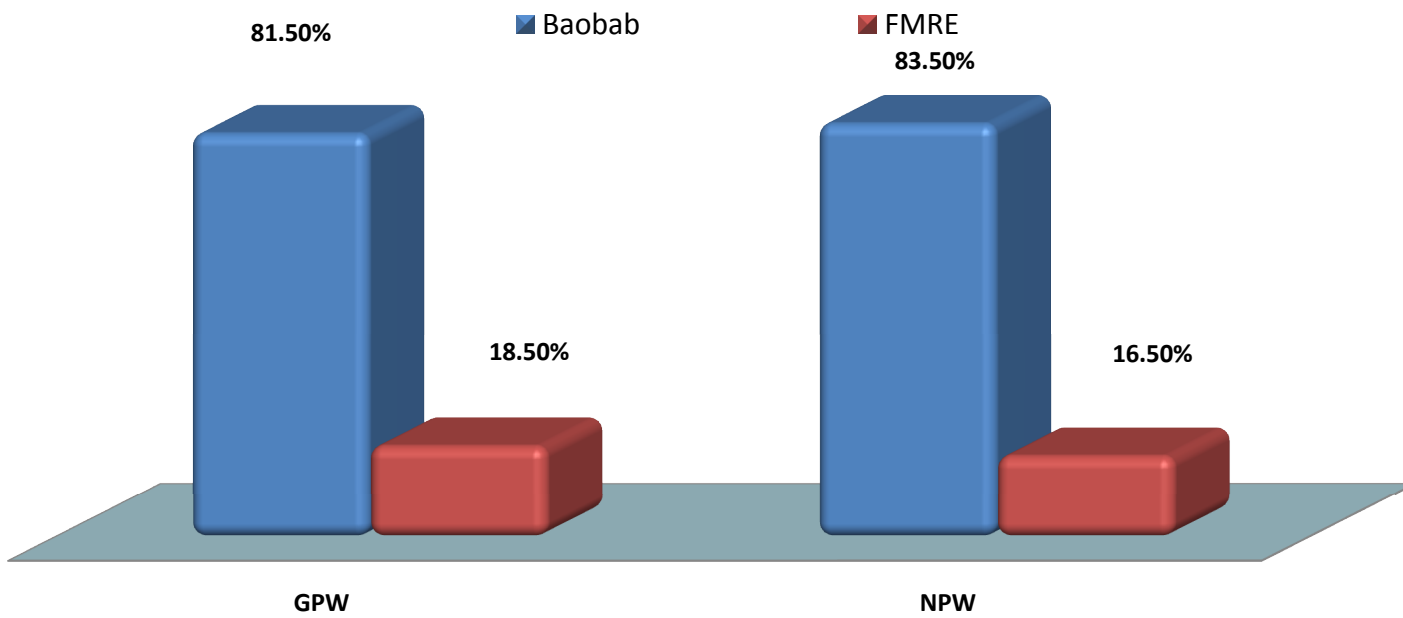
1.7. Market Share

Figure 1, below, illustrates that Baobab Re controlled 82% of the market in terms of gross premiums whilst its market share rose by 2% in net premium written terms.

Figure 1 : Market share For Reassurers for the quarter ended 31 March 2012



Market Share





Section C: Appendices

	Baobab	FMRE	Total
Gross Written Premiums	922,189	208,791	1,130,980
Reinsurance Premiums	76,902	41,753	118,655
Net Written Premiums	845,287	167,038	1,012,325
Net Earned Premiums	289,160	167,038	456,198
Net Incurred Claims	514,150	(47,565)	466,585
Net Commission Incurred	216,540	(33,875)	182,665
Technical Result	419,139	48,683	467,822
Operating Expenses	151,396	105,242	256,638
Underwriting Result	267,743	(56,559)	211,184
Investment			
Investment Income	16,004	(34,423)	(18,419)
Unrealised Gains/Losses	35,000		35,000
Other Income	(8,500)		(8,500)
Profit Before Tax	310,246	(90,982)	219,264
Taxation	-	-	-
Profit After Tax	310,246	(90,982)	219,264
Key Ratios			
Market Share based on GWP	81.5%	18.5%	100.0%
Market Share based on NWP	83.5%	16.5%	100.0%
Retention Ratio	91.7%	80.0%	89.5%
NEP/ NPW	34.2%	100.0%	45.1%
Net Claims/NEP	177.8%	-28.5%	102.3%
Net Commission Ratio	74.9%	-20.3%	40.0%
Net Expense Ratio	52.4%	63.0%	56.3%
Combined Ratio	305.1%	14.2%	198.6%

